

Novice Risk, Account & Cooldown Engine

GSPS Implementation Specification Pack • Prepared for Claude Code • August 28, 2026 • Draft implementation directives; requires securities/compliance counsel review before live personalized recommendations or execution.

Account model and position sizing

Risk must be calculated from verified account net liquidation value where connected account data exists. If GSPS lacks verified broker data, label every account/risk calculation as “GSPS estimate based on user-entered holdings.”

```
planned_risk_dollars = abs(entry_price - stop_price) * quantity
base_risk_dollars = account_equity * base_risk_rate
quantity = floor(permitted_risk_dollars / abs(entry_price - stop_price))
# Use fractional quantity if broker and instrument support it; otherwise round down.
```

Net liquidation value = cash + marked market value of holdings – debit balances/liabilities. Deposits, withdrawals, transfers, and corporate actions must be segregated from investment P&L; when calculating drawdown.

Bounded dynamic-risk policy

Dynamic sizing may adjust a ceiling based on account condition, rules alignment, market conditions, user execution quality, and correlation/exposure. It must never equate an internal score with “high likelihood of profit,” and it must never exceed an absolute tier cap.

```
permitted_risk = equity * min(absolute_tier_cap, base_rate * setup_multiplier * execution_multiplier *
market_multiplier * correlation_multiplier)
permitted_risk = min(permitted_risk, remaining_daily_budget, remaining_48h_budget, remaining_open_risk_budget)
```

Novice band	Risk rate	\$450 illustration	Conditions
Base qualified setup	1.00%	\$4.50	All standard gates pass
A-tier	Up to 1.25%	\$5.63	Strong alignment and no warnings
A+	Up to 1.50%	\$6.75	A+ alignment plus execution record
Exceptional A+	Up to 1.75%	\$7.88	Meaningful discipline sample; no caution states
Absolute ceiling	2.00%	\$9.00	Never exceed; does not imply recommended use

User execution score

Use behavior/process adherence as the primary user-performance signal. Raw profitability may be displayed but must not be the main reason to raise risk, because luck can reward poor behavior and correct execution can experience losses.

Metric	Weight	Measurement
Stop discipline	25%	Honored planned stop or only risk-reducing modifications
Position sizing	20%	Actual filled quantity at/below GSPS approval
Entry discipline	15%	Entry at valid trigger; no chase beyond threshold
Exit-plan adherence	15%	TP1/TP2/runner plan followed or approved rationale logged
Frequency discipline	10%	Entry-cap and re-entry behavior
Correlation/exposure discipline	10%	No impermissible stacking
Journal/review completion	5%	Required post-trade reflection complete

No risk increase above base rate until at least 20 completed GSPS swing trades. Highest Novice band additionally requires 40–50 completed trades across varied conditions, no active cooldown, and no repeated recent discipline breach.

Risk, allocation, and correlation controls

- Maximum new positions: 3 per trading day. This is a GSPS behavior cap, not a PDT claim.
- Novice is swing-only. Same-day protective exits/TP exits do not count as new entries.
- Maximum total planned open risk: configure 1.5–2.0% of equity for Novice; lower if correlation is elevated.
- \$450 illustration: \$6.75–\$9 total planned open risk.
- Maximum single position allocation: default 20–25% of account equity.
- Maximum aggregate deployed allocation: default 50–65% for Novice.
- At \$450, allow only one correlated risk group at a time.
- Position must satisfy risk, allocation, settled-funds/buying-power, and fractional-share constraints simultaneously.

Circuit-breaker state machine

State	Trigger	New entry behavior	Existing position behavior
Normal	No trigger	Allowed if all gates pass	Fully manageable
Entry pause	3 new positions opened in one day	Blocked until next regular session	Fully manageable
Warning	2% 48h loss from defined baseline	Allowed only after risk review / optional stricter policy	Fully manageable
Soft cooldown	3% 48h realized + unrealized loss	Blocked through current session	Fully manageable
Hard cooldown	5% 48h realized + unrealized loss	Blocked next full trading day + reset checklist	Manage/reduce/exit
Critical lock	8% 30-day high-water drawdown	Blocked 5 trading days	Risk-reducing actions only
Emergency lock	12% 30-day high-water drawdown	Blocked 10 trading days + requalification	Risk-reducing actions only
Severe override	18% 30-day high-water drawdown	Live entries suspended pending formal reset	Risk-reducing actions only

Implement 48-hour baseline loss, start-of-day loss, and 30-day rolling high-water drawdown as separate metrics. Do not use a single ambiguous “total funds” calculation.

Cooldown rules

- Cooldowns never block stop loss, take profit, position reduction, position closure, or cancellation of pending entries.
- A paid upgrade never overrides any active cooldown or lock.
- All state transitions require audit records with timestamp, metric inputs, source-data confidence, user notification, and any user acknowledgement.
- A reset checklist must document account value, current open risk, any rule breach, correlation exposure, and revised plan before new entries resume.
- If broker/account data is unavailable or stale, fail closed for automatic risk increases and label calculations as estimates.